

TECHM

9.0%
ROE

9.2%
ROCE

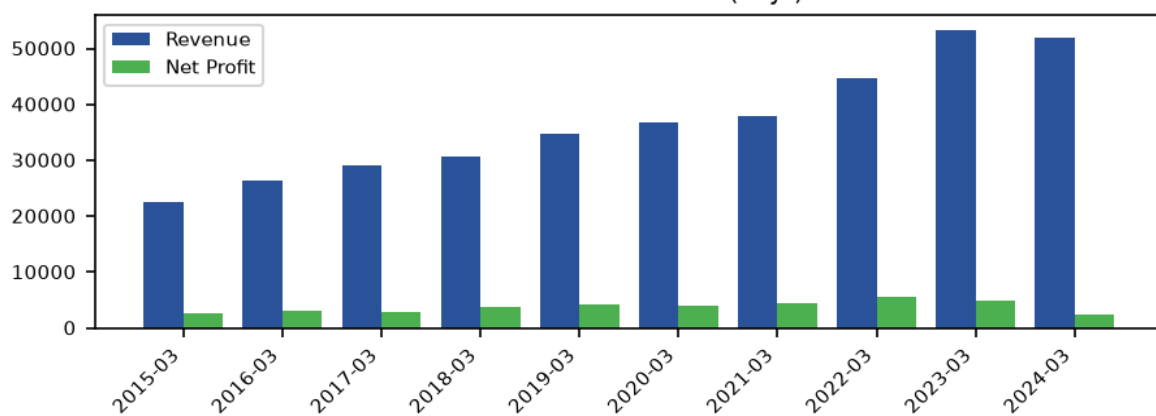
0.1x
D/E

8.4%
Revenue CAGR (5yr)

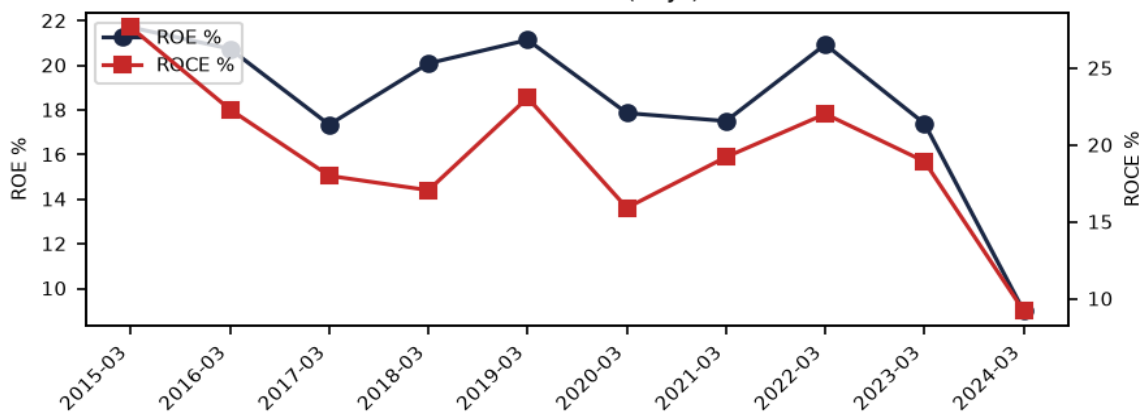
8.7%
OPM

4.6%
Net Profit Margin

Revenue vs Net Profit (10yr)

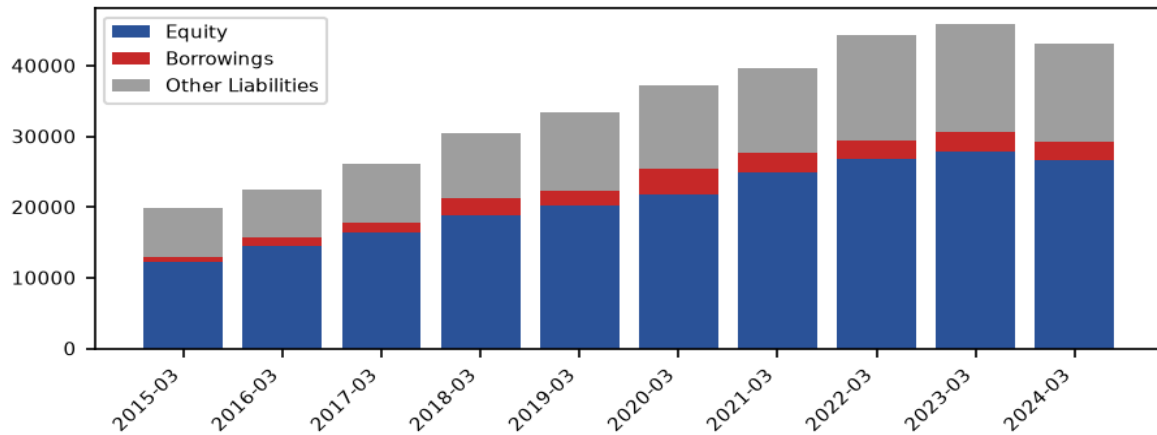


ROE vs ROCE (10yr)

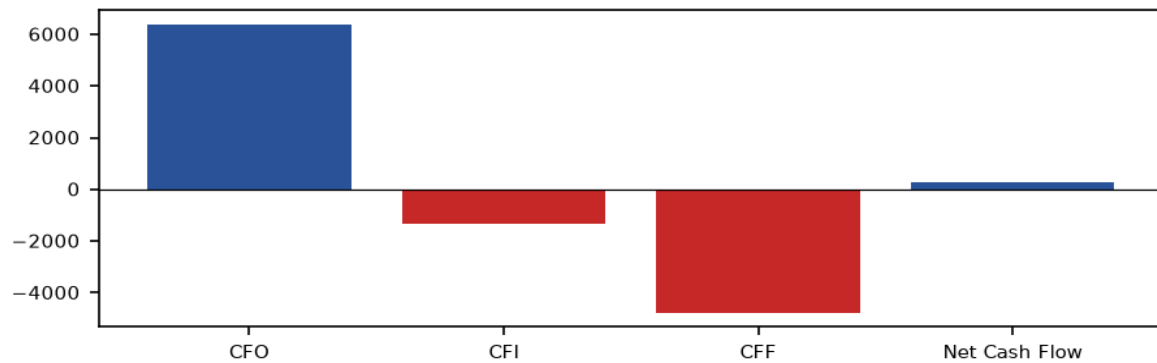


TECHM

Balance Sheet Composition (10yr)



Cash Flow Waterfall (2024-03)



Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern: Shareholder Returns